

Table 26.4 Breakout and Post-Breakout Statistics

Description	Bull Market
Breakout direction	100% up
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 45%, M 41%, H 32%
Throwbacks occurrence	67%
Average time to throwback peaks	6% in 7 days
Average time to throwback ends	12 days
Average rise for patterns with throwbacks	38%
Average rise for patterns without throwbacks	42%
Percentage price resumes trend	72%
Performance with breakout day gap	40%
Performance without breakout day gap	39%
Average gap size	\$0.55

Yearly position, performance. I sorted the double bottom's breakout price into where it occurred in the yearly price range. The best performing patterns have breakouts within a third of the yearly low. Avoid trading those near the yearly high. That suggests a bottom-fishing strategy (buy low, sell high) would work well with double bottoms and not a momentum play (buy high, sell higher).

Throwbacks. A throwback occurs in two of every three trades. That is a high return rate. Thus, if you missed investing in a double bottom, you may have another opportunity if it throws back.

The average round-trip return time to complete a throwback is 12 days, which is typical for chart patterns. Notice that when a double bottom throws back, performance suffers. To avoid a throwback, look for nearby overhead resistance. The good news is if price does throw back, it resumes the upward trend 72% of the time.

Gaps. Breakout day gaps help performance but not by a huge amount.

Table 26.5 shows statistics related to size.